

Project: Price Elasticity of Demand

MICROECONOMICS

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(FA25-BED-036)

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Contents

Introduction	2
Objectives	2
Data Table	2
Graph	2
Simple Diagram	3
Elasticity Calculation	3
Interpretation	3
Petrol Demand is Inelastic	3
Findings.....	3
Conclusion	3

Introduction

Price elasticity of demand measures the responsiveness of quantity demanded due to changes in price.

Petrol is an essential commodity in Pakistan. Changes in petrol prices affect transportation costs, household budgets, and inflation.

This project analyzes how consumers respond to petrol price changes.

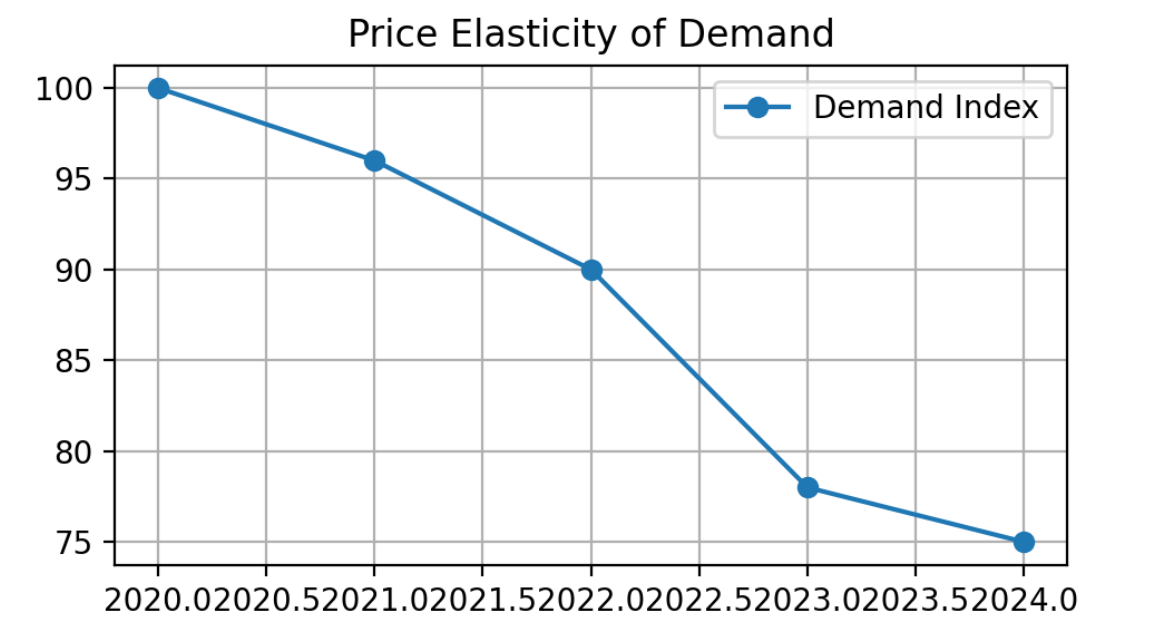
Objectives

- To calculate price elasticity of demand.
- To study consumer response to petrol price changes.
- To identify whether petrol demand is elastic or inelastic.
- To understand economic impacts of fuel price changes.

Data Table

Year	Petrol Price	Demand Index
2020	100	100
2021	110	96
2022	150	90
2023	270	78
2024	280	75

Graph



Simple Diagram

Price Increase → Consumer Response → Elasticity Measurement → Pricing Decision

Elasticity Calculation

Formula:

Price Elasticity of Demand = $\text{Percentage Change in Quantity Demanded} \div \text{Percentage Change in Price}$

Example:

Price:

100 → 110

Change = 10%

Demand:

100 → 96

Change = -4%

Elasticity:

= $-4 / 10$

= -0.4

Interpretation

Elasticity = -0.4

Since elasticity is less than 1:

Petrol Demand is Inelastic

Consumers continue using petrol despite price increases because:

- Transportation depends on fuel.
- Alternatives are limited.
- Petrol is a necessity.

Findings

- Petrol demand is not highly affected by price changes.
- Rising fuel prices increase living costs.
- Fuel prices influence inflation.

Conclusion

Demand falls only slightly despite large increases in petrol prices, indicating inelastic demand.